# 25STCV24719 25STCV24719

County: los-angeles

Division: Civil Law and Motion

Department: 513

Hearing date: 2026-07-01

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Case Number: 25STCV24719 Hearing Date: July 1, 2026 Dept: 513

Superior Court of California

County of Los Angeles – Central District

Department

513

MAZLIACH GAMLIEL

;

Plaintiff,

vs.

MERCEDES-BENZ USA, LLC

, et al.;

Defendants.

Case

No.:

25STCV24719

Hearing

Date:

July
1, 2026

Time:

10:00 a.m.

[tentative]
Order RE:

defendant mercedes-benz usa, llc's motion to
compel arbitration

MOVING PARTY: Defendant Mercedes-Benz USA, LLC

RESPONDING PARTY: Plaintiff Mazliach Gamliel

Motion to Compel Arbitration

The court considered the moving, opposition, and reply papers filed in connection with this motion.

REQUEST FOR JUDICIAL NOTICE

The court grants defendant Mercedes-Benz USA, LLC's ("Defendant") request for judicial notice of plaintiff Mazliach Gamliel's ("Plaintiff") Complaint pursuant to Evidence Code section 452, subdivision (d).

DISCUSSION

Defendant moves the court for an order compelling Plaintiff to submit the claims alleged in his Complaint to binding arbitration.

1.
Applicability of the Federal Arbitration Act

The court finds that Defendant has met its burden to show that the Federal Arbitration Act (9 U.S.C. § 1 et seq.) (the "FAA") governs this motion. (Evenskaas v. California Transit, Inc. (2022) 81 Cal.App.5th 285, 292 ["The party asserting the FAA applies to an agreement has 'the burden to demonstrate FAA coverage by declarations and other evidence'"] [internal citations omitted].)

"[T]he FAA's procedural provisions (9 U.S.C. §§ 3, 4, 10, 11) do not apply unless the contract contains a choice-of-law clause expressly incorporating them. [Citation.] [T]he question is not whether the parties adopted the CAA's procedural provisions: The state's procedural statutes (§§ 1281.2, 1290.2) apply by default because Congress intended the comparable FAA sections (9 U.S.C. §§ 3, 4, 10, 11) to apply in federal court. The question, therefore, is whether the parties expressly incorporated the FAA's procedural provisions into their agreements. [Citations.]" (Victrola 89, LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 345 [internal quotation marks and citation omitted].)

The "Important Arbitration Disclosures" in the "California Motor Vehicle Lease Agreement" (the "Lease") provides that "[t]his lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq.)." (Declaration of Ali Ameripour ("Ameripour Decl."), ¶ 4; Ex. 2, p. 4.) This provision, while broad, is not an express incorporation of the FAA's procedural provisions. (Wright v. WellQuest Elk Grove, LLC (2026) 119 Cal.App.5th 267, 278-282.)

The court therefore finds that the procedural provisions of the FAA do not apply to the parties' arbitration agreement and, therefore, the procedural provisions of the California Arbitration Act do apply.

The court notes that it applies general California contract law to determine the existence of an arbitration agreement between the parties. (Mar v. Perkins (2024) 102 Cal.App.5th 201, 212, ["[T]he existence of an enforceable arbitration agreement is established under state law principles involving formation, revocation and enforcement of contracts generally"] [internal quotation marks and citations omitted]; Weeks v. Interactive Life Forms, LLC (2024) 100 Cal.App.5th 1077, 1089 ["The

FAA ordinarily defers to state law on questions of contract formation, unless state law fails ‘to place arbitration agreements “on equal footing with all other contracts”’”].)

2.

Existence of Agreement to Arbitrate

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists[,]” unless the court finds that the right to compel arbitration has been waived by the petitioner or that grounds exist for rescission of the agreement.¿ (Code Civ. Proc., §¿1281.2.)¿¿¿¿¿¿

“‘ “The party seeking to compel arbitration bears the burden of proving the existence of an arbitration agreement, while the party opposing the petition bears the burden of establishing a defense to the agreement’s enforcement.” ’”¿ (Beco v. Fast Auto Loans (2022) 86 Cal.App.5th 292, 302.)¿ To determine the existence of an arbitration agreement, the court uses “a three-step burden-shifting process.”¿ (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755.)¿ “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement.¿ [Citations.]¿ A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature.’”¿ (Ibid. [internal citations omitted].)¿ “If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence . . . .”¿ (Ibid.)¿ If the opposing party meets its burden to “submit sufficient evidence to create a factual dispute” as to the existence of the agreement, the burden shifts back to the arbitration proponent, who retains the ultimate burden of proving its existence by a preponderance of the evidence.¿ (Ibid.; Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165-166.)¿¿¿¿

First, the court finds that Defendant has met its initial burden of showing that an agreement to arbitrate between Plaintiff and Defendant exists. (Iyere, supra, 87 Cal.App.5th at p. 755.) Defendant has presented the “Important Arbitration Disclosures” in the “California Motor Vehicle Lease Agreement” (the “Arbitration Provision”) which (1) purports to bear Plaintiff’s e-signature and

(2) states that "[a]ny claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a 'Third Party Beneficiary'), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action." (Ameripour Decl., ¶ 4; Ex. 2, pp. 4, 6.) Defendant also shows that the Arbitration Provision encompasses Plaintiff's claims against Defendant because it requires arbitration of "[a]ny claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue) between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a 'Third Party Beneficiary')" and Plaintiff's causes of action arise out of the lease of the 2024 Mercedes Benz S580V4 ("Subject Vehicle") which occurred under the Lease between Plaintiff and Mercedes Benz of Beverly Hills (collectively, the "contracting parties") and the parties expressly included Defendant in the Lease as a third party beneficiary that can invoke the Arbitration Provision. (Ameripour Decl., ¶ 4; Ex. 2 p. 4.) Plaintiff's claims also arise out of the relationship between Plaintiff as lessee and Defendant as manufacturer of the Subject Vehicle.

Second, the court finds that Plaintiff has not met his burden to identify a factual dispute as to the authenticity of the Arbitration Provision, including because Plaintiff does not dispute that he signed the Lease which includes the Arbitration Provision. (Declaration of Mazliach Gamliel, ¶ 3.) (Iyere, supra, 87 Cal.App.5th at p. 755.) However, Plaintiff argues that Defendant is not a party to the Arbitration Provision and that there is no evidence that Defendant was assigned rights or is an intended beneficiary.

3.

Third Party Beneficiary

"Because arbitration is a matter of contract, the basic rule is that one must be a party to an arbitration agreement to be bound by it or invoke it—with limited exceptions." (Soltero v. Precise Distribution, Inc. (2024) 102 Cal.App.5th 887, 892-893.) The “[t]hird-party beneficiary theory is [an] exception to the usual rule that only a party to an arbitration agreement may enforce it.” (Id. at p. 898.) “To invoke the third-party beneficiary exception, the nonsignatory ‘“ha[s] to show that the arbitration clause . . . was made expressly for [its] benefit.”’” (Ibid. [internal citations omitted] [emphasis in original].) Courts consider the following three factors to determine whether a party is a third-party beneficiary of an agreement: “(1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

First, the court finds that Defendant would benefit from the Arbitration Provision by having the option to enforce the arbitration clause and having its controversies resolved by arbitration.

Second, the court finds that a motivating purpose of the contracting parties was to provide a benefit to Defendant because they named Defendant explicitly as a “Third Party Beneficiary.” (Ameripour Decl., ¶ 4, Ex. 2, p. 4.) (See Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1339 [“If the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle's manufacturer—as a person entitled to compel arbitration”] [affirmed by Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1129].)

Third, the court finds that allowing Defendant to compel arbitration would align with the contracting parties’ goals for the Lease because the contracting parties included Defendant as a third-party beneficiary who can compel arbitration. (Goonewardene, supra, 6 Cal. 5th at p. 831 [The third Goonewardene element “calls for a judgment regarding the potential effect that permitting third party enforcement would have on the parties’ contracting goals, rather than a determination whether the parties actually anticipated third party enforcement at the time the contract was entered into"].) Furthermore, there is a reasonable expectation that Defendant would compel arbitration as the contracting parties expressly gave Defendant the power to do so. (Ibid. ["the third element does not focus upon whether the parties specifically intended third party enforcement but rather upon whether, taking into account the language of the contract and all of the relevant circumstances under which the contract was entered into, permitting the third party to bring the proposed breach of contract action would be 'consistent with the objectives of the contract and the reasonable expectations of the contracting parties'"].)

The court therefore finds that Defendant is an intended third-party beneficiary and can enforce the Arbitration Provision.

4.
Defense of Unconscionability

Plaintiff contends that the Arbitration Provision is unenforceable as unconscionable.

"'[A]greements to arbitrate [may] be invalidated by "generally applicable contract defenses, such as fraud, duress, or unconscionability." '"¿ (Beco, supra, 86 Cal.App.5th at p. 302.)¿ "The burden of proving unconscionability rests upon the party asserting it."¿ (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126.)¿ "Unconscionability entails an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party."¿ (Iyere, supra, 87 Cal.App.5th at p. 759 [internal quotations omitted].)¿ "Both procedural and substantive unconscionability must be shown for the defense to be established, but 'they need not be present in the same degree.'"¿ (Kho, supra, 8 Cal.5th at p. 125.)¿

i.
Procedural Unconscionability

"Procedural unconscionability pertains to the making of the agreement . . . ."¿ (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.)¿ It """focuses on two factors: 'oppression' and 'surprise.'¿ [Citations.]¿ 'Oppression' arises from an inequality of bargaining power which results in no real negotiation and 'an absence of meaningful choice.' [Citations.]¿ 'Surprise' involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.”’”¿ (Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 484 [citations omitted].)¿¿¿¿¿¿¿¿¿¿¿¿

The court finds that Plaintiff did not meet his burden to show there is procedural unconscionability because, although Plaintiff argues that “[w]hile an arbitration clause has not been provided by Mercedes (1) Plaintiff was not given reasonable opportunity or time to review the terms of the alleged arbitration provision” (Opp., p. 5:7-8), Plaintiff did not present evidence to support this assertion. Thus, Plaintiff has not shown surprise or oppression.

ii.

Substantive Unconscionability

“‘Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh or one-sided.¿ [Citations.]¿ A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be “so one-sided as to ‘shock the conscience.’”’”¿ (Carmona, supra, 226 Cal.App.4th at p. 85.)¿ ““[T]he paramount consideration in assessing [substantive] unconscionability is mutuality.”’”¿ (Ibid.)¿¿¿

The court finds that Plaintiff did not meet his burden to show there is substantive unconscionability because Plaintiff only argues that “[u]nder Song-Beverly, Plaintiff may not be forced into binding arbitration, may elect to be a class member if such circumstance arises, and is entitled to have all fees, costs, and expenses (including attorney and expert fees) paid by the Defendant manufacturer. Therefore, the arbitration provision is in direct contradiction to Song-Beverly and, as such, is substantively unconscionable.” This argument does not show that the Arbitration Provision is overly harsh or so one-sided as to shock the conscience.

The court therefore finds that Plaintiff failed to meet his burden to show that the Arbitration Agreement is unconscionable because Plaintiff did not show that there is any procedural or substantive unconscionability.

ORDER

The court grants defendant Mercedes-Benz USA, LLC’s motion to compel binding arbitration.

The court orders (1) plaintiff Mazliach Gamliel and Mercedes-Benz USA, LLC to arbitrate the claims alleged in the Complaint, and (2) this action is stayed until arbitration is completed.

The court sets an Order to Show Cause re completion of arbitration for hearing on February 19, 2027, at 8:30 a.m., in Department 513.

The court orders defendant Mercedes-Benz USA, LLC to give notice of this ruling.

IT IS SO ORDERED.

DATED: July 1, 2026

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Robert B. Broadbelt III

Judge of the Superior Court